

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
SOLICITATION: SPE7MX25R0003

[X] ORIGINAL

1. The Defense Logistics Agency, DLA Land and Maritime, is the contracting activity. This indefinite Quantity contract (IQC) solicitation will be issued under FAR Part 15, Contracting by Negotiation, for a contract with a maximum of five (5) years. The contract period will be comprised of a three-year base and two one-year option periods. Option years will be exercised at the discretion of the Government.
2. The action being approved is the acquisition of supplies/services on a full and open competition basis. The rationale specific to this item is detailed by its Acquisition Method Suffix Code (AMSC) as stated below in paragraph 4.
3. The supplies/services required to meet the using activity's needs are described as follows:

CLIN	BRIEF DESCRIPTION	NSN/P/N	ADQ	ADV	AMC/AMSC
0001	GUARD, BLADE EDGE	2010-01-200-1889	166 EA		1/C
0002	GUARD ASSY, EDGE PROPELLER	2010-01-200-1890	139 EA		1/C

The Federal Supply Code for both NSNs is 2010 (Ship and Boat Propulsion Components).

Identify end item, weapon system, or class of item: Same for both CLIN 0001 and CLIN 0002 - WASP CLASS LHD, LCAC PROPELLER, LANDING CRAFT AIR CUSHION (LCAC), and AMERICA CLASS LHA. Both NSNs have the same primary WSDC of EDN: LANDING CRAFT AIR CUSHION (LCAC).

ESTIMATED BASE VALUE FOR CLIN 0001: \$

ESTIMATED BASE VALUE FOR CLIN 0002: \$

COMBINED ESTIMATED BASE VALUE: \$

ESTIMATED OPTION VALUE FOR CLIN 0001: \$

ESTIMATED OPTION VALUE FOR CLIN 0002: \$

COMBINED ESTIMATED OPTION VALUE: \$

ESTIMATED TOTAL VALUE (3-YR. BASE + 2 1-YR. OPTIONS) FOR CLIN 0001: \$

ESTIMATED TOTAL VALUE (3-YR. BASE + 2 1-YR. OPTIONS) FOR CLIN 0002: \$

COMBINED ESTIMATED TOTAL VALUE (3-YR. BASE + 2 1-YR. OPTIONS): \$

MAXIMUM CONTRACT VALUE: \$

FOR ADD-ONS, PROVIDE VALUE OF OPTION YRS REMAINING: N/A.

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
SOLICITATION: SPE7MX25R0003

4. The statutory authority permitting other than full and open competition is:

☒ 10 U.S.C. 3204(a)(1) - Available from only one or a limited number of sources. This item is available from two or three approved sources, GE AVIATION SYSTEMS [93366], GE AVIATION SYSTEMS, DBA DOWTY PROPELLERS [U7387], and T S E INDUSTRIES, INC. [1L3L4].

Brief narrative supporting the situation and weapon system:

The product specialist reviewed the items prior to acquisition and determined there are limited sources approved to manufacture this item, with only one approved source listed for each of the subject NSNs. Only the approved sources possess the complete technical data for the items listed. They are the only sources uniquely qualified to manufacture these items. One of the approved sources for each item is a small business, however there is no expectation of receiving an offer from anyone other than the one source. Therefore, this acquisition will be solicited unrestricted.

On October 02, 2024, [REDACTED], Product Specialist, certified that the items have been reviewed, that the AMC/AMSC codes are correct, and that the items are good for LTC inclusion. See Attachment #1 Tech Cert CM23335002.

5. If restricted to the only source(s) of supply, include source(s) and CAGE code:

NSN	ITEM	AMC	AMSC	APPROVED SOURCES
2010-01-200-1889	GUARD,BLADE EDGE	1	C	1. GE AVIATION SYSTEMS [93366] - P/N: 660509223 2. GE AVIATION SYSTEMS - DBA DOWTY PROPELLERS [U7387] - P/N: 660509223 3. T S E INDUSTRIES, INC. [1L3L4] - P/N: R-660509223.
2010-01-200-1890	GUARD ASSEMBLY,LEADING EDGE PROPELLER	1	C	1. GE AVIATION SYSTEMS [93366] - P/N: 660509209 2. T S E INDUSTRIES, INC. [1L3L4] - P/N: R-660509209

The use of the authority cited below:

☒ AMC 1. Suitable for competitive acquisition for the second or subsequent time.

The use of the authority cited is based on:

☒ AMSC C. This part requires engineering source approval by the design control activity to maintain the quality of the part. Existing unique design capability, engineering skills, and manufacturing knowledge by the qualified source(s) require acquisition of the part from the approved source(s). The approved source(s) retain data rights, manufacturing knowledge, or technical data that are not economically available to the Government, and the data or knowledge is essential to maintaining the quality of the part. An alternate source must qualify in accordance with the design control activity's procedures, as approved by the cognizant Government engineering activity. The qualification procedures must be approved by the Government engineering activity having jurisdiction over the part in the intended application. If one source is approved, AMCs 3, 4, or 5 are valid. If at

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SOLICITATION: SPE7MX25R0003

least two sources are approved or if data is adequate for an alternate source to qualify in accordance with the design control activity's procedures, AMCs 1 or 2 are valid.

According to the Tech Cert (attached), both parts require engineering source approval by the design control activity in order to maintain the quality of the part. An alternate source must qualify in accordance with the design control activity's procedures, as approved by the cognizant Government engineering activity. The Government does not possess adequate data, lacks rights to data, and/or has no record of an alternate Design Control Activity approved source. The data presently available reflects the minimum needs of the Government. There is no outstanding DLA Form 339 request for additional sources. Only the approved sources for the item will be able to meet the Government's needs in providing the exact item to the approved specifications, to which the approved sources retain the rights to, not the Government, as indicated by the AMSC code "C".

6. Efforts to ensure that offers are solicited from as many sources as practicable are:

☒ The acquisition will be synopsized on or about 10/15/2024.

☐ Other:

☒ The solicitation will be posted to DIBBS for a minimum of 30 days.

I hereby determine that the anticipated cost to the Government will be fair and reasonable. Market research has revealed that there is not a reasonable expectation to receive offers from at least two small businesses. The procurement is being conducted under FAR 15 Contracting by Negotiation procedures. The contract maximum value is less than \$2 million and thus Certified Cost or Pricing Data (CCPD) will not be required, per FAR 15.403-4(a)(1). Other than Cost or Price Data may be requested. A price analysis will be conducted, utilizing the Producer Price Index (PPI) and learning curves. A comparison to past award prices will also be performed in the determination of a fair and reasonable price. The NSNs will be solicited with four quantity ranges, firm-fixed pricing, and allow for escalation in prices for years 2 through 5 of the LTC.

7. Market Research/Efforts to Obtain Competition:

The Contract specialist reviewed the procurement history for contractors that offered and contracted the subject items in the past. Internet & GSA searches were conducted for both NSN items, but the exact products were not found for immediate purchase of new parts to satisfy the requirements, except for items anywhere online. Additionally, market surveys and a Sources Sought posting were completed.

Sources Sought Notice: Posted on 8/23/24. One response from BHPE, LLC. [9SWS7] was received.

Market Survey [10 U.S.C. 3453(c)]:

☒ A market survey was conducted on/during: 6/26/2024 – 7/5/2024.

Total number of vendors contacted: 3.

3 Approved Sources were contacted and responded:

- GE AVIATION SYSTEMS [93366] Responded. Follow-up inquiries made.
- DOWTY PROPELLERS [U7387] Responded. Follow-up inquiries made.
- T S E INDUSTRIES, INC. [1L3L4] Did not Respond, even after a follow-up email was sent.

Techniques used to conduct survey: Contractors were identified using procurement history and the market survey was sent by email, with follow-up emails as needed to obtain information.

DLA Land & Maritime Justification for Other Than Full & Open Competition
(November 2021)

Decontrolled CUI is no longer controlled.

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
SOLICITATION: SPE7MX25R0003

Types of information requested: Interest in supporting an LTC, Company Size, Preference for LTC Duration, Quantity Price Break Information, Understanding of Cost of Pricing Data Requirements, Commercial Item Questions, and Delivery Information.

Both GE AVIATION SYSTEMS and its subsidiary, DOWTY PROPELLER have responded to the Market Survey. The other approved source, T S E INDUSTRIES, INC. [1L3L4] indicated about month after this survey was closed that DLA's inquiry was found in the junk folder. The contract specialist re-sent a separate email requesting for pre-solicitation market survey. However, they never responded. The contracting specialist is continuing reach out to the approved source to confirm their interest. There is one response from BHPE, LLC. [9SWS7] received as a result of the Sources Sought Notice. The contract specialist requested a market survey including source information, but they never responded.

Information received regarding the commerciality of the item(s): Both NSNs have been procured directly from the approved sources only. One of the approved sources, GE Aviation Systems also confirmed that both NSNs are not commercial items upon the contract specialist's inquiry. An Internet search along with queries of both the GSA advantage and PIII Commercial Item Database yielded no records are found indicate that both NSNs are not commercial items.

Summary of information received: Two contractors responded and provided the following information:

Responding Contractor	NSN	3-Year Base Period	Single Year Option Period(s)	Ideal Base Period	Quantity Price Breaks	Estimated Delivery	Commercial Items (Y/N)	Any current procurement challenges OR Additional notes
GE Aviation Systems [93366] and its subsidiary, DOWTY Propellers [U7387]	2010-01-200-1889 2010-01-200-1890	Yes	Did not provide information	Did not provide information.	Did not provide information	Did not provide information	No	GE Aviation provided info that they are in the middle of design changes with testing they are not sure they could quote for this LTC even though they are interested.

Based on the market research, the contracting officer determined that both items are **NOT** commercial.

8. Additional facts supporting other than full and open competition are:

[X] Based upon the attached technical certification, technical data is not available and cannot be developed to permit full and open competition. The data presently available reflects the minimum needs of the Government.

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☐ As stated in the attached certification by the requiring activity, the Military Services will be seriously injured in contract award is delayed. The extent and nature of harm are detailed in the attached certification, or provide a narrative Impact Statement below:

☐ When FAR 6.302-1 is cited for follow-on acquisitions as described in 6.302-1(a)(2)(ii), an estimate of the cost to the Government that would be duplicated and how the estimate was derived.

☐ Other: (Explain)_____.

10. A listing of sources, if any, indicating an interest in the acquisition is:

BHPE, LLC. [9SWS7]

11. The following actions are being taken to identify additional sources:

☒ Solicitation contains DLA Procurement Note, L04 Offers for Part Numbered Items

☒ Solicitation contains DLA Procurement Note, M06 Evaluation of Offers for Part Numbered Items

12. The subject NSNs have been awarded only to the above stated sources since December 2002 for CLIN 0001.

As for CLIN 0002, the above stated approved sources were the only awardees since January 2002. (See Attachment 2 - Procurement History.)

There is no previous J&A for either NSN 2010-01-200-1889 or NSN 2010-01-200-1890 available because both items were previously purchased below the Simplified Acquisition Threshold.

I hereby certify that the information contained in this justification is accurate and complete to the best of my knowledge and belief. If not exceeding \$750,000, this signature serves as the approval.

KRAUSS.KRISTA.L.1
394506695

Digitally signed by
KRAUSS.KRISTA.L.1394506695
Date: 2024.10.10 08:01:33 -04'00'

Contracting Officer

**JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
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APPROVAL/CERTIFICATION

I have reviewed and approve this justification:

WIEBUSCH.JAMIE.1
251897324

Digitally signed by
WIEBUSCH.JAMIE.1251897324
Date: 2024.10.18 09:42:56 -04'00'

Competition Advocate Signature

Date

APPROVAL REQUIREMENTS

- | | |
|---|---|
| ☐ Up to \$750,000 | Contracting Officer |
| ☒ \$750,000 to \$15,000,000 | Competition Advocate |
| ☐ Over \$15,000,000 to \$100,000,000 | Head of Contracting Activity (HCA) |
| ☐ Over \$100,000,000 | Senior Procurement Executive (AQ)
(DLA General Counsel signature line required when sending to AQ) |

Attachment(s):

1. Tech Cert CM23335002
2. Procurement History